accounts. My salary account I label 'Income Account'. The second account I call 'Spend-it Account'. The third is called 'Invest-it Account'.

Once your salary hits your Income Account, within thirty minutes (OK, take a day – but do it) move out your monthly expenditure to your Spend-it Account. And whatever is left, move it to your Invest-it Account. Salary accounts are usually zero-balance accounts, so sweeping all the money out is possible. But if you like to leave little pockets of cash for that little bit extra spending, like I do, keep a few thousand in your Income Account as a cash reserve.

I remember one relationship manager, of my salary account, calling me very upset at the money moving out so fast. Why's he upset – because the longer the money stays in the bank, the better he manages to meet his deposit target, or the target of getting a certain amount of deposits in the bank each month.

Why does the bank want higher deposits? Because your money is lent out to others – loans earn the bank anywhere between 10 per cent to 18 per cent, while you get a 4 per cent interest on your savings deposit. The difference between what you get and what the bank earns, minus costs, is the bank's profit.

Getting back to our accounts. Use your Income Account as the sump for all kinds of money inflow that we get. You may quickly say: 'Oh, but I get only a salary.' But there is always some other cash that flows into your life. Cash gifted by parents or relatives, a bonus, a refund from work, a matured insurance plan, rent from a property you own, dividend on stocks or mutual funds, return of money borrowed. Other than interest earned in the other two accounts, rest of the inflow into your life falls into one account – your Income Account.

Next, remove from the Income Account the money you spend each month. We all roughly know what the monthly expenditure flow is like – we know that we spend 25,000 or 40,000, or a lakh (100,000) or more on living costs. Give yourself a little spending cushion in the first few months of creating this system and move 10–15 per cent more than what you think you spend into your Spend-it Account. That's all you have for this month's expenses – rent, EMI, food, salaries to pay, fuel, credit card bills, utilities, pocket money, medicines, whatever.